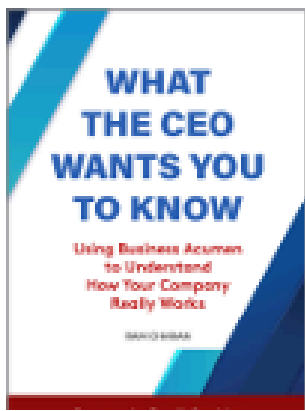




WHAT THE CEO WANTS YOU TO KNOW

Using Business Acumen to Understand
How Your Company Really Works

RAM CHARAN



The Big “So What”

To do well in any profit or non-profit organization, you must understand how your company truly works. This book helps you to develop business acumen and learn the universal language of business. It allows you to become better at any job, feel more engaged and fulfilled with your work, and make a bigger impact.



Introduction



Every business has the same fundamentals. This is true for a roadside stall or a Fortune 500 company, a profit or non-profit organization. Great CEOs (i) possess great business acumen and (ii) help everyone in the company to understand these fundamentals.



The insights in this book are relevant for business leaders and anyone who wishes to make a bigger impact in their work. They're especially helpful for 2 groups:

- Millennials born between 1982-2000 who will be propelling the digital revolution and holding key leadership positions in the coming decades; and
- Business-to-business (B2B) salespeople who must understand their clients' businesses in order to prove that they bring real value.



This summary is organized in 2 parts: (i) learning the 4 business fundamentals, and (ii) applying the fundamentals in the real world.

KEY QUOTES

“The best CEOs are like the best teachers.”

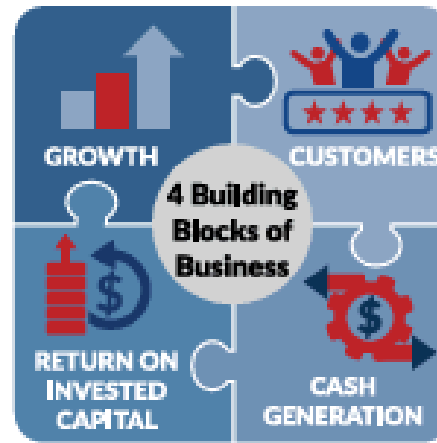
“I want to share with you...what the CEO wants you to know, so that you can learn, grow, and make a greater contribution to not only your organization but the world around you.”



Mastering the Universal Language of Business



All businesses—regardless of size, type or industry—have the same 4 building blocks: customers, cash generation, return on invested capital, and growth.



- Imagine you're a street vendor selling food.
 - (i) You must decide how much ingredients to buy based on how much you expect to sell that day (sales forecast). You must decorate your stall (retail display) or compare what rivals are doing (market analysis). You must set prices and possibly offer discounts at the end of the day to get rid of the perishables. You might shout to catch customers' attention (advertising) or add set-meals and promotion items (product bundling and customer value).
 - (ii) You must also consider your profit margin (how much cash you keep as a percentage of the total cash you earn). You may increase your margin by raising prices (but not so much that you lose customers) or buying cheaper ingredients (provided it won't hurt your food quality). You may also consider whether to add more dishes or just sell a few high-margin items. You know you're doing well if you generate enough money to buy the next day's ingredients and still have extra cash left in your pocket.
- Likewise, an automobile company must decide how much materials to order, what prices to set, when to run a promotion, and how to do so without cheapening the brand. They must decide whether to invest in a new manufacturing plant and make sure they have enough cash to pay for production, rental, operations and employees' salaries.
- Operating a public-listed company is more complex than running a street stall. Yet, the fundamentals are the same. The street vendor merely juggles all 4 building blocks in his mind while a large corporation must do it on a much bigger scale. They must:
 - (i) Satisfy customers better than competitors;

KEY QUOTES

"The language of business is the same everywhere."

"Business is always changing, but the basics remain the same."

- (ii) Generate enough cash to stay in business;
- (iii) Produce a *good return* on the money invested in the business; and
- (iv) Grow the business profitably.



To do well, a business must master all 4 fundamentals and integrate them.

- Most employees see their work through their specializations or silos, e.g. engineering, sales, or accounting.
- Once they can see the big picture, trade-offs and interdependencies across functions, they'll be in a better position to help the business to grow and thrive. In the process, they'll feel more connected to their work and company, can identify opportunities, make better suggestions, create a greater impact and accelerate their career progression.



1. Customers



You can't have a business without customers, and a company can only thrive if it has satisfied customers.

- Know your customers (the people who buy your products) as well as your consumers (the people who use your products). For example, Procter and Gamble must consider the needs of its customers (retail stores like Target) and end-consumers (people who use their diapers, shampoos etc.)
- Know what your customers/consumers are truly buying and why. Are they buying your product, or are they actually buying convenience, reliability, or a peace of mind? You earn their loyalty when you can consistently deliver what they truly need/want.



The best way to understand your customers is through personal observations. Don't rely on surveys, focus groups or analytics alone.

- Study the end-to-end customer experience, i.e. how customers interact with your product at every step of the buying journey.

KEY QUOTES

"No matter what we do for a living, will be better at our jobs if we learn how moneymaking tools are applied within our organizations."

"Learning to speak the universal language of business will advance your career."

"If you don't have a customer, you don't have a business."

"The CEO wants you to know your company's customers."

- (i) If you're a retailer, try observing how many customers leave your store without making a purchase. Identify the stores they visit before yours (by looking at the shopping bags they carry) and the ones they visit after that. Talk to a handful of customers each week to learn what they're thinking.
- (ii) Speak directly to your end-users as well as your distributors or wholesalers (if any). Don't go through a middleman.
- Once you have an insight (e.g. changes in lifestyle or new products they may like), test it with the customer.



2. Cash Generation



Any business needs cash to operate and grow. Cash generation refers to the difference between cash that flows into the business and cash that flows out of it, in a given period of time. This is also known as "cash flow."

- Sources of cash inflow include: cash, checks, credit card payments and product sales.
- Sources of cash outflow (how the money is used) include: salaries, taxes, or payments to suppliers.



Know the difference between cash vs income.

- Most companies sell their products/services first and collect the money later. The money owed to them is called accounts receivable. They also buy supplies first and pay for them later. The money they owe is called accounts payable.
- Companies can get into trouble due to low margins, high expenses, or when they take too long to sell their products and collect receivables. Look for warning signs such as decreasing cash, income or profit margin. A company goes bankrupt when it doesn't have enough cash and can't borrow more.
- On the other hand, a company with cash can invest it to build capabilities to generate even more cash. Take Amazon for example. It started out by selling books without any book inventory. It processed the orders online and shipped them

"Invested wisely, cash improves the company's moneymaking ability."

directly from others' distribution facilities, which meant they could receive money from customers upfront and pay for the books much later. The cash generated could then be used for marketing to bring in even more sales. Amazon later added a variety of third-party products, which allowed them to earn commissions without carrying inventory or handling fulfillment.



Any employee can contribute to cash generation. Know your company's cash situation and how to improve it. Ask yourself:

- Is your division or department generating cash for the company? Is your company generating net cash?
- Which of your own actions generate cash or use cash? How can you improve cash generation? For example, a sales rep can negotiate for clients to pay in 30 days instead of 45 days. A production manager can reduce inventory levels to free up cash. Even mailroom clerks can ensure outbound invoices or inbound checks are processed asap so they're converted to cash.



Gross margin is crucial to cash generation.

- Net profit margin = Revenue minus all expenses, including all operating costs, taxes and loan interest payments.

$$\text{Net Profit Margin} = \frac{\text{Revenue} - \text{All Expenses}}{\text{Revenue}}$$

- Gross margin = Revenue minus the costs of goods sold (COGS). COGS refers to the costs *directly* associated with creating the product/sale, such as materials and direct labor costs. It *excludes* other costs like taxes, interests, distribution or general administration. It tells you how profitable a product is, e.g. if you pay \$60 for ingredients and labor for every \$100 sold at your food stall, you have a gross margin of 40%. You can increase your gross margin by changing your mix of products, customers, prices, distribution channels, and the material/labor costs involved.

$$\text{Gross Margin} = \frac{\text{Revenue} - \text{Cost of Goods Sold}}{\text{Revenue}}$$

KEY QUOTES

"If you understand gross margin, you are well on your way to understanding the heart of the business."



3. Return on Invested Capital (ROIC)



Every business uses money or capital. This may be its own money (profits accumulated from previous years) and/or someone else's money (e.g. money from banks and shareholders). The Return on Invested Capital (ROIC) shows how well you're using the money. The bigger the number, the better.

$$\text{Return on Invested Capital (ROIC)} = \frac{\text{Net Income}}{\text{Total Invested Capital}}$$



$R = M \times V$. Simply put, ROIC depends on your *margin* (how much you earn for every product sold) and your *velocity* (how quickly you move products through your business).

$$\text{Return (R)} = \text{Margin (M)} \times \text{Velocity (V)}$$

- Velocity is also known as "inventory turns", or how many times your inventory turns over within a period of time. Walmart has 360 inventory turns in toilet tissue per year, which means it sells all of its toilet tissue almost daily.
- The faster your velocity, the higher your returns. Consider how long it takes your company to convert raw materials to a finished product that's sold, or how long it takes from the time you receive a customer order to the time you deliver the product. If you take 90 days to produce and sell a car, it means your cash and potential profits are tied up for 90 days. How can you help to improve ROIC through your work?
- ROIC is especially crucial for companies with a lot of fixed assets (e.g. machinery and factories). If you can grow your business using existing assets, you'll conserve cash and get higher returns on your assets. For example, AT&T can maximize the returns from its investments in cables, wires, satellites etc. by moving more services (mobile, internet, TV) through its network.



Your ROIC must be higher than the cost of capital. That's why companies sometimes sell or discontinue a product line to free up capital for more effective uses.

KEY QUOTES

"Return is nothing more than profit margin multiplied by velocity. This is a universal law of business."

"Things must move through a business to the customer, and the faster the better."



4. Growth



Growth is essential for any individual or organization to thrive and prosper. A company that doesn't grow cannot stay ahead of its competitors, meet evolving market needs, or retain great talents.

- However, don't grow for the sake of growing. Bad growth can actually hurt a company. This includes: cutting prices to gain market share, borrowing aggressively to invest in non-profitable products, or using mergers and acquisitions to boost financial figures without addressing the business basics. If your cash or profits are declining despite a growth in sales, stop to examine what's going on.
- The key is to focus on good growth that improves both your top line (revenue) and bottom line (profit), and meets 4 criteria:
 - (i) It's *profitable* and capital-efficient, i.e. it brings higher returns than investing in a safe financial instrument (e.g. a Treasury bill).
 - (ii) It's *organic* and builds on what the company is already doing.
 - (iii) It's *differentiated* from competitors.
 - (iv) It's *sustainable*, i.e. you can keep growing year after year.



Use the growth box to find good growth opportunities. Ask 4 sets of questions:

	EXISTING CUSTOMERS	NEW CUSTOMERS
EXISTING NEEDS	How to better serve our customers with current core competencies? 	Can we sell what we have to new customers? 
NEW NEEDS	What new needs can we satisfy for existing customers? 	Should we pursue new customers with new needs? 

- How can you better serve existing needs of existing customers? This is about leveraging your core competencies to expand the current pond you're fishing in. For example, home

KEY QUOTES

"Either you are growing or you are dying."

"Don't use size as a measure of success."

"Growth energizes a business. A company that is expanding attracts talented people with fresh ideas. It stretches them and creates new opportunities."

improvement chain Home Depot linked customers to contractors to install their purchases.

- How can you satisfy new needs for existing customers? These are problems that're not addressed by you or your rivals, e.g. Toyota created Lexus to cater to customers who wanted something in between a Cadillac and a Mercedes.
- Can you address existing needs for new customers? This is about selling what you have to new customer segments, like how Avon extended its ladies' beauty products to teenagers.
- Should you try to fulfill new needs for new customers? It may make sense to enter a new business if your existing business or strategy is becoming obsolete, e.g. Nokia shifted from cellphones to networking equipment and software.



Putting It Together: Understanding the Whole Business



Business acumen is about understanding all 4 building blocks and combining them to see the full picture of how an organization is doing.



Start by examining 6 areas: sales, gross margin, net profit margin, inventory velocity, ROIC, cash generation and market share.

- The information can be found in a company's annual report.
 - (i) The *Profit-and-Loss (P&L)* statement summarizes the company's revenues (sales) and costs (expenses).
 - (ii) The *Balance Sheet* summarizes the company's assets, liabilities, and shareholders' equity. Shareholder Equity = Assets - Liabilities.
 - (iii) The *Cash Flow Statement* shows the cash flowing in and out of the company (cash generation).
- If you work for a *public company*, speak with the investor relations department for a copy of the annual report. If you work for a *private company*, speak with your management or finance department. For each of the 6 areas, try to answer these questions:

KEY QUOTES

"A true businessperson masters the relationships among customers, cash generation, return on invested capital, and growth to get an intuitive grasp of the total business."

"If you and your company are going to succeed, you need to truly understand the business."

- (i) Are the numbers increasing, flat or decreasing? Why?
- (ii) How is your company doing compared to its competitors?
- (iii) What's likely to happen in the coming months or years?

- If you can answer these questions, then you're speaking the universal language of business, to identify (i) if a company is doing well and (ii) which areas may require attention.



Charan used Amazon's annual reports from 2013-2017 to explain how their financial numbers showed a healthy business focus.

- The P&L statement showed revenue growing from \$74mil in 2013 to \$166mil in 2017, and gross margin rising steadily from 27% to 39%. This is a positive sign of their effort to increase customer value and add higher-margin products (e.g. Amazon Prime).
- A good company invests in things that improve its competitiveness and increase value for the customers and organization, and Amazon was investing heavily in technology and marketing. Between 2013 and 2017, tech/content expenses increased from \$7mil to \$23mil, while marketing expenses grew from \$3mil to \$10mil. However, general and administrative expenses only grew from \$1mil to \$3mil, which meant that they were also carefully managing their corporate overheads.
- Amazon's profits were relatively low, but there was no cause for concern since (i) this was partially due to investment in top talents and technology, and (ii) its Balance Sheet showed a steady growth in shareholders' equity (i.e. assets > liabilities). The accounts receivable was also much lower than accounts payable, since they were being paid by customers immediately and negotiating good payment terms with suppliers.

"Use the universal laws of business, as they set the path and select the right priorities, so the organization can grow profitably."



Applying Business Acumen in the Real World



Cutting Through Real-World Complexities



Every organization faces a range of issues from strategy to finance, human resource and operations. Global companies like General Motors or Proctor & Gamble have to grapple with even more complexities since they have multiple product lines and geographical markets.



The best CEOs cut through the clutter to focus on just 3-4 priorities that will bring the business where they want it to go. They devote their time, energy and organizational resources to these priorities instead of diluting them over too many things. They also consider how these priorities will affect the 4 moneymaking fundamentals.



Generating Wealth



All public and private companies are expected to create wealth for their shareholders (including employees who own company stocks). The price-earnings ratio ("P/E" for short) is one of the best indicators of wealth creation. A P/E of 10 means that for every dollar of earnings per share, the stock is worth 10x as much.

$$\text{Price-Earnings Ratio (P/E)} = \frac{\text{Price of 1 share (P)}}{\text{Earnings of 1 share (E)}}$$

- In public companies, P/E is determined by analysts and investors. It reflects market expectations of the company's ability to make money, based on its past performance compared to competitors (or benchmarked against the S&P 500 index).
- A company is rewarded with a higher P/E multiple when it delivers expected results consistently, i.e. it predictably increases its revenue and profits without reducing velocity. If it fails to meet expectations, the stock price and P/E start to drop. After a series of misses, the P/E and stock price can fall so much that it's subject to acquisition by other companies.

KEY QUOTES

"Keep business basics in mind to cut through complexity and set the right path and priorities."

"The world has complexity but leaders provide clarity."

"Your company's price/earnings ratio is the key for turning money into wealth."

- Companies with a higher P/E multiple generate wealth for their shareholders, attract top talent, create job security and opportunities for employees to learn, grow and earn more.



Know your company's P/E multiple and how it compares with competitors and the S&P 500. The company is doing well if it has consistent, predictable and profitable growth, sustainable ways to generate cash, good ROIC, and is performing better than competitors.

- In a digital era, there are countless opportunities for traditional businesses to move into new areas of growth. Benchmark against companies outside your industry to challenge your assumptions on the possible rates of growth and profitability.



Developing an Edge Through Superior Execution



Knowledge alone isn't enough; you must also execute better than others. In the book *Execution: The Discipline of Getting Things Done*, Charan explained these essentials for execution:

- Be crystal clear on what you want to achieve.
- Break down the goals into specific steps (e.g. "Complete A in 1 week and B in 1 month") and milestones (e.g. "We know we're at the halfway mark when we get to X"). Ask for help if necessary.
- Consistently monitor progress and follow through.



Flawless execution helps to expand your organization's capacity. This requires that you:

- Put the right people in the right roles. The right person is someone who can thrive in the role, make sound decisions, deliver great results, and keep increasing his/her capacity.
 - (i) Maximize individuals' impact by matching each person's strengths (attitudes, aptitudes and skills) with what the business needs.
 - (ii) Regularly review the job-person fit as the business evolves.
- Coach people to expand their capacity and leadership skills.

KEY QUOTES

"Every time we raise value for a shareholder, we raise value for our people."

—Howard Schultz, Former Starbucks CEO

"Stop looking in the rearview mirror and imagine what will happen in the future."

"Leaders have to deliver results day in, day out, relentlessly and consistently. Delivering results is what gives an organization energy, builds confidence, and generates resources to go forward."

"Every business needs the right people in the right jobs."

KEY QUOTES

- (i) Treat every incident as an opportunity for coaching, and give honest, direct and constructive *feedback*.
 - (ii) Coach for *behavior* (e.g. listening well or finishing work on time) as well as *business aspects* (e.g. setting the right priorities and executing well).
 - (iii) If your company doesn't have a mentoring/coaching program, request for one or proactively approach someone who can help you to grow.
- If someone is wrong for the job or becomes mismatched as circumstances change, take corrective action asap.



Synchronize people's efforts so they move in sync toward a common goal and with minimum friction. This expands the company's capacity.

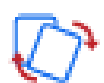
- As an organization grows, people must be organized into departments and roles. The larger the company, the harder it is to share information and agree on priorities. People may also hide their concerns or disagreements, leading to "false decisions" where people seem to agree yet fail to follow through.
- Identify the areas where it's critical to have information-sharing or joint decision-making, then design the effective social operating mechanisms with 4 characteristics:
 - (i) *Openness*: Make it safe to challenge status quo and discuss new ideas.
 - (ii) *Candor*: Be willing to share opinions honestly, speak up against consensus or highlight broken promises.
 - (iii) *Informality*: Be spontaneous, not formal or rigid.
 - (iv) *Closure*: After each dialogue, clarify decisions and expectations (including accountabilities and deadlines).

"Synchronization expands the organization's capacity."

"Today, you have to be not only a team player, in the truest sense of the word, but you have to be an integrator as well."



Getting Started



Start shifting your perspectives to think like a businessperson. This means (i) having a big picture of your company and the 4 moneymaking fundamentals, and (ii) linking it to your own priorities.

- Know where your company stands by looking into the 6 areas explained earlier: sales, gross margin, net profit margin, inventory velocity, ROIC, cash generation and market share.
- List down all the factors that affects your company's moneymaking ability (e.g. industry consolidation, innovation, currency fluctuations). Then, narrow down to 3-4 simple, actionable priorities for your department or role. For example, if you're in HR, you can help to break silos, connect people or put the right people in the right roles. If you're in Finance, you can identify ways to add capacity, improve margins, or use cash more optimally.
- Help the people you work with to expand their capacity and synchronization.

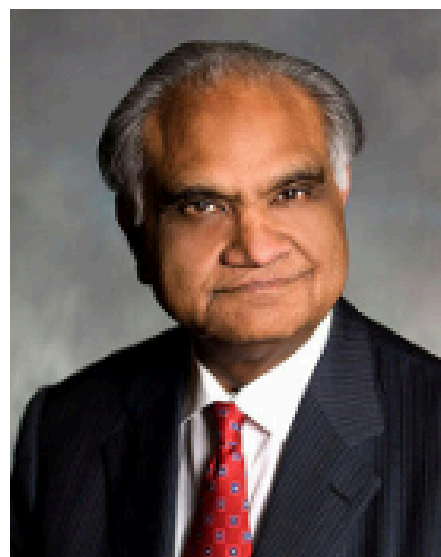


Other Details in the Book to Look out For

This is a clear and easy-to-read book. Charan illustrated the key ideas in this summary using detailed examples and case studies of companies such as Netflix, Starbucks, Ford, Amazon, etc. For more details, please visit <https://ram-charan.com/>.

About the Author

Ram Charan (born 1939) is an Indian American business consultant, speaker, and author. He was formerly a Harvard Business School professor, and has consulted with leading companies like GE, Bank of America, Verizon, Coca-Cola, 3M, Merck, Aditya Birla Group and Tata Group. He has authored and co-authored several books on business strategy, execution, corporate boards and building a high performance organization.



KEY QUOTES

"If you can show your customers that your product will create more value for them, you will make more sales. And if you show your own company that you understand what will provide more value for it, you will be promoted."